exceptions are so rare attests to its basic truth. Every day, millions of investors, amateur and professional alike, prove you can't beat the market.

And then there's Warren Buffett.

Warren and a few other legendary investors—including Ben Graham, Peter Lynch, Stan Druckenmiller, George Soros, and Julian Robertson—have performance records that fly in the face of the Chicago School. In short, they've outperformed by a big enough margin, for long enough periods of time, with large enough amounts of money, that the advocates of market efficiency are forced onto the defensive. Their records show that exceptional investors can beat the market through skill, not chance.

Especially in Warren's case, it's hard to argue with the evidence. On his office wall, he displays a statement, typed by him, showing that he started The Buffett Partnership in 1956 with $105,000. Since then, he has attracted additional capital and earned returns on it such that Berkshire Hathaway now has investments totaling $143 billion and a net worth of $202 billion. He's kicked the hell out of the indices for many years. And in the process, he's become the second wealthiest man in America. This last achievement wasn't based on dynastic real estate assets or a unique technological invention, as with so many on Forbes's lists, but on applying hard work and skill in investment markets that are open to everyone.

What's responsible for Warren Buffett's singular accomplishments? In my view these are the keys:

- **He's super-smart.** One of the many *bon mots* attributed to Warren is the following: "If you have an IQ of 160, sell 30 points. You don't need them." As Malcolm Gladwell pointed out in the book *Outliers*, you don't have to be a genius to achieve great success, just smart enough. Beyond that, incremental intelligence doesn't necessarily add to your chances. In fact, there are people so smart that they can't get out of their own way, or can't find the path to success (and happiness) in the real world. A high IQ isn't enough to make someone a great investor; if it were, college professors would probably be the richest people in America. It's important to also to be business-oriented and have "savvy" or "street smarts."

  I have a sneaking suspicion that Warren's IQ is well above 130 . . . *and* that he hasn't made any effort to dispose of those "non-